

IT PROJECT MANAGEMENT

AGENT NOTE: This document is a structured knowledge extraction from PMI's IT Project Management Fundamentals training. It covers strategy alignment, delivery approaches, the ITPF, project phases and stage gates, ePPM, project roles and responsibilities, the DISD framework, document requirements, and financial management. Use it to answer questions from PMI Project Managers about process, governance, roles, finance, and tools.

1. STRATEGY, PORTFOLIO, AND DIGITAL INVESTMENT

1.1 Strategy Alignment

Every project at PMI must align with the overarching company strategy. Each IT project must additionally adhere to the specific IT department's strategy. Strategic alignment is one of the primary criteria for project prioritization, along with total investment and expected benefits.

1.2 Portfolio Management

- Portfolio managers prioritize projects and programs whose outcomes align with PMI's strategic direction
- They ensure use of appropriate templates and tools and assist Project Teams in securing funding
- Portfolio Management Offices provide data and metrics for executives to monitor strategy implementation progress
- ePPM is the exclusive system providing a holistic view of the project portfolio
- Portfolio Manager is authorized to confirm completion of mandatory stage gates G0, G3, G5, and G6 in ePPM

1.3 Digital Investment and Strategy Deployment (DISD)

DISD is PMI's key framework that guides and prioritizes digital projects within the company's portfolio. It is not just a committee, it is a catalyst that enables deployment of PMI strategy through decisions on digital investments.

Three Main DISD Objectives

Objective	Owner and Activities
Determine key digital investments to realize PMI strategy	Strategy and Program Delivery (S&PD). Defines the 3-year digital investment plan. Aligns with Long Range Plan (LRP) and Original Budget (OB).

Maximize value and benefits from digital investments	Finance team. Drives value realization per committed business cases. Tracks and governs BAU costs across categories, functions, and regions.
Guard execution of digital investments	IT team. Enables speed and business agility. Ensures reuse of category-agnostic IT services, common analytics/data services, and mandated infrastructure and security services.

DISD Forums

Forum	Mandate and Decisions
Integrated Business Planning Committee (IBP)	Strategic direction, financial guidance, target setting. Allocates total IT Digital Fund (Budget/LRP). Makes exceptional Gate 3 decisions.
Strategic Portfolio Planning Meeting	Integrated strategic and operational digital investment plan. Approves 3-year Digital Masterplan and Roadmap. Prioritizes top strategic digital investments. Sets boundaries of induced BAU costs.
The DISD (Central/Corporate/Monthly DISD)	Value maximization and sustainable realization of top digital investments. Allocates IT fund and induced BAU to Top Strategic Digital Investments. Handles large, costly, cross-functional projects at Gate 3.
Functional/Regional DISD (Business Portfolio Review)	Strategic planning for categories, functions, and regions. Internal prioritization and value realization. Handles Gate 0 decisions. Handles Gate 3 for smaller, lower-impact, internal projects.

DISD Calendar and Cycle

- Gate 0 and Gate 3 decisions are made throughout the year as submissions are ready
- Monthly DISD committees occur based on the DISD calendar (available on portfolio website on IT Hub)
- Q1: Review of priorities, tracking progress, confirmation of portfolio
- Q3: Review strategy and plan guidance, discuss top digital investments, assess financial requirements, optimize phasing
- Q4: Review functional and regional OB demand and benefits; submit IBP

2. PROJECT AND PRODUCT DELIVERY APPROACHES

Aspect	Project Delivery
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Focus	Producing a unique product, service, or result with defined objectives and deliverables
Nature	One-time, unique endeavors with clear start and end points
Stage Gates	Adheres to sequential project stage gates (G0-G6) as key decision points
Flexibility	PMI does not mandate a specific delivery method; Agile elements can be integrated
This Training	Primary focus of the ITPM Fundamentals training
Examples	Implementation of new software, system upgrade

Aspect	Product Delivery
Focus	Managing complex, rapidly changing requirements in evolving or uncertain technology domains
Teams	Dedicated, permanent teams with full build and run responsibility throughout entire product lifecycle
Early Adopters	Digital Consumer & Commercial (DCX), Data & Analytics (D&A), Technology and Platform Engineering (T&PE)
This Training	Not covered in Fundamentals training

3. IT POLICY FRAMEWORK (ITPF)

The ITPF provides essential guidelines for the effective use of IT resources and processes at PMI. Project Managers must know and apply ALL policies when managing a project involving IT. The ITPF takes precedence over all other references.

3.1 System Delivery Policies

- 300 Information Security
- 600 IT System Lifecycle Management
- 800 IT System Change Management

3.2 IT Project Navigator

The IT Project Navigator is a roadmap aligned with the ITPF. It details all essential project stage gates and the necessary steps between them. It offers links to templates and supplementary resources to help Project Managers navigate the PMI project environment smoothly.

4. PROJECT PHASES AND STAGE GATES

4.1 Project Phases

Phase	Stage Gates
Initiation and Planning	G0 through G3
Execution	G3 through G4
Project Closing	G4 through G6

4.2 Stage Gate Overview

There are 7 stage gates in total (G0-G6). Some are mandatory, some optional. At each gate, the project undergoes a thorough review evaluating whether it has achieved its objectives for the current stage and whether it can proceed. Decisions are guided by predefined criteria and supported by required documents.

KEY RULE: Not all stage gates involve funding approval. The general purpose is to evaluate progress and determine if the project can proceed to the next stage.

4.3 Decision Bodies

Decision Body	Role
Project Sponsor	Involved in all project decisions
Steering Committee (SteerCo)	Once formed, processes project-level decisions. Approves G3 readiness, risk response plans, key changes, go-live (G5), and project closure (G6).
DISD	Portfolio-level decisions. Approves G0 and G3 (depending on project size). Required for budget increases exceeding 10% of overall project budget.
IBP	Makes exceptional Gate 3 decisions for the largest investments

4.4 Stage Gate Details

Gate	Purpose / Key Facts
G0 - Project Start	First decision gate in DISD. Evaluates project viability and strategic alignment. Converts demand into a project. Authorizes resources to build a detailed business case. Can release up to \$100K OPEX seed funding (DISD approval required). Decision

	body: Functional/Regional DISD. Required document: G0 DISD Submission.
G1, G2	Additional project stage gates (not mandatory minimum gates). Managed at project level.
G3 - Funding Approval	Pivotal decision point. DISD decides on investment and expected benefits. Completes Planning Phase and starts Execution Phase. Allocates project budget. Decision body: DISD (Central for large projects; Functional/Regional for smaller ones). Required documents: Project Stakeholder Agreement (SteerCo) + DISD G3 Decision Sheet (DISD). Both must be linked in ePPM.
G4 - Deployment Start	Marks start of deployment and closing phase. Transition Plan preparation begins between G4 and G5.
G5 - Go-Live	Project go-live authorization. Steering Committee approves. Transition Plan is a mandatory prerequisite. Security sign-off required (1LoD for low; both 1LoD and 2LoD for medium/high/critical).
G6 - Project Closure	Formal project closure. Steering Committee approves. Required document: Project Closing Report (mandatory).

4.5 Gate 0 Preparation - PM Duties

At Gate 0, the PM provides a brief to the functional/regional DISD outlining the investment opportunity, typically using a simple opportunity canvas.

Gate 0 Submission Contents

- Benefit hypothesis: initial assumption about the benefits the project will bring
- Experiment definition (for innovation projects): tactics, stages, measurements, KPIs, success criteria
- Objectives and key deliverables for the initiation phase (e.g., planned PoC or MVP activities)
- Initial cost estimate for both initiation and execution phases (high-level at this stage is acceptable)
- Expected benefits: revenue generation, productivity improvement, operational expense optimization
- Initial cybersecurity assessment: contact IT security experts; engage InfoSec if project is high-risk or impacts critical system
- Data privacy impact assessment: high-level data privacy risks, data classification, personal data processing activities
- Technology approach: provided by the solution architect; initial analysis of project scope as outlined in ePPM

NOTE: Use the Gate 0 Submission Template to structure information effectively. Projects in ePPM are automatically replicated in LeanIX which architects use to manage PMI's technology inventory.

4.6 Gate 3 Preparation - PM Duties

Gate 3 is the pivotal decision for project funding approval. The PM prepares the project funding request using the G3 Submission Template, consolidating inputs from multiple stakeholders.

Who Contributes to Gate 3 Submission

- Project Owner: evaluates and defines business benefits
- IT team: defines benefits attributed to IT deliverables
- Information Security: assesses risk and criticality levels
- Data Privacy: assesses privacy risks
- Finance: helps estimate budget requirements
- Procurement: provides input
- Infrastructure: provides input
- Architecture (Solution Architect): provides updated technical approach and cybersecurity risk profile
- PM role: consolidates all inputs into a coherent funding request for DISD

Gate 3 Preparation Steps

- Step 1: Consult with Solution Architect for updates to technical approach (check LeanIX if unsure who the architect is)
- Step 2: Consolidate project financials using the G3 Submission Template; organize a session with SMEs to populate financial inputs together; update ePPM
- Step 3: Articulate the funding being requested and contextualize within a longer-range funding schedule; outline funded deliverables and outcomes per phase

MANDATORY: No project can begin execution without explicit DISD approval at Gate 3. Ensure ePPM data is in sync with the DISD G3 Decision Sheet before clicking Submit for Approval in ePPM.

Which DISD Forum Reviews Gate 3

Project Type	Gate 3 Decision Body
Large, costly, cross-functional projects (Top IT Strategic Investments)	Central/Cross-functional DISD (DISD Business Case Delivery)
Smaller, internal, lower-cost, lower-impact projects	Functional or Regional DISD (Business Portfolio Review)

5. ePPM - ENTERPRISE PROJECT PORTFOLIO MANAGEMENT

ePPM is the central tool for portfolio and project management at PMI. It is the exclusive system providing a holistic view of the project portfolio. It serves as the front page of a project, offering stakeholders a comprehensive view and acting as a data source for decision-making reports.

5.1 Minimum Data Required in ePPM

DETAILS Tab

- Project stage gate
- Project Start and End Dates
- IT Investment Information
- Portfolio Tags
- Business Case
- Status (Red Amber Green - RAG)

SCHEDULE Tab

- Key project milestones including stage gates (high-level; detailed tasks can be managed outside ePPM)

BENEFITS AND COSTS Tab

- Benefits
- Costs

RISKS AND ISSUES Tab

- Most critical risks and issues impacting project baselines
- Respective mitigation plans

CHANGE CONTROL Tab

- Key changes to project baselines requiring steering approval

DOCUMENTS Tab

- Links to key stage gate documents: G0 Submission Document, Project Stakeholder Agreement, G3 Submission Template, Transition Plan, Closing Report
- Steering Committee Meeting assets

5.2 ePPM Responsibilities and Frequency

Responsibility	Details
Who updates ePPM	Project Manager. In cross-functional projects: Functional PM holds overall accountability; IT PM provides and updates IT-specific information.

Minimum update frequency	Once per month (mandatory for good quality monthly portfolio reporting)
Gate confirmation in ePPM	Portfolio Manager confirms mandatory gates G0, G3, G5, G6. Project Manager confirms remaining gates.
When updates are required	Throughout entire project lifecycle. Also a prerequisite for passing any mandatory project stage gate.

KEY RULE: Keeping ePPM updated is a prerequisite for passing any mandatory project stage gate. ePPM data must be in sync with the DISD G3 Decision Sheet at Gate 3.

6. PROJECT ROLES AND RESPONSIBILITIES

6.1 Key Definitions

Term	Definition
Accountability	Making sure the work is completed to the required quality standards and agreements. Each task has ONLY ONE person accountable. Cannot be shared.
Responsibility	Doing the work to complete a task or create a deliverable. Every task has at least one responsible person. CAN be shared.

6.2 Project Roles

Project Sponsor (also called Project Owner in ePPM)

- Normally holds a Senior Manager position or above
- Link between the Project Team, customers, and strategic decision-making bodies
- Accountable for defining and realizing project benefits
- Ensures alignment with IT strategy
- Delegates responsibilities as needed
- Chairs the Steering Committee
- Provides the rationale for the project
- Defines project boundaries (scope, time, cost, quality)
- Takes key decisions

Steering Committee Members

- Represent business units involved and key to the project
- Approve project G3 readiness (before project is presented to DISD)
- Approve risk response plans

- Decide on key changes (before submission to other decision bodies)
- Approve project go-live (G5)
- Approve project closure (G6)

Functional Project Manager (FPM)

- Holds OVERALL accountability for the project in cross-functional projects
- Ensures project goals align with business objectives
- Ensures all stakeholders are effectively engaged throughout the project lifecycle
- Primary accountability: project completed within scope, on schedule, in budget, to required quality standards
- Accountable for overall project coordination and integration
- Accountable for managing project dependencies with impacted business processes
- Accountable for assigned business deliverables
- Responsible for engaging and managing business stakeholders and team members
- Responsible for functional cost management
- Accountable for business change management planning and execution
- Accountable for project transition and closing activities in cross-functional projects
- Ensures successful adoption of the solution

IT Project Manager (ITPM)

- Executed by a person holding IT Project Manager, IT Project Leader, or IT SME position
- Collaborates with the FPM at the same level
- Primary accountability: all IT components developed per ITPF and integrated with the overall project
- Responsible for defining IT scope to satisfy business requirements
- Accountable for technology deliverables aligned with ITPF requirements
- Accountable for managing project dependencies with impacted IT processes and systems
- Responsible for engaging and managing IT stakeholders and IT team members
- Responsible for IT cost management
- Coordinates IT operational readiness activities during closing
- Submits the Capital and Lease Expenditure Request (650 form) in MyPMI

IMPORTANT: IT and Functional Project Manager roles CAN be executed by one person in small, simple projects, provided that person has all necessary competencies and authority. Must be documented in the Project Stakeholder Agreement.

Team Members

- Represent different technical, business, or organizational domains
- Execute project activities
- Actively involved in project planning and execution

6.3 Collaboration Between FPM and ITPM

Project Phase	Joint Collaboration Areas
Planning (G0-G3)	Prepare Project Stakeholder Agreement. Fill in G3 Submission Template. Document outcomes of planning process. Present project to governing bodies.
Execution (G3-G4)	Execute communication activities including reporting. Manage risks. Manage project changes.
Closing (G4-G6)	Plan and execute project transition and closing activities.

6.4 Project RACI Matrix

The Project RACI Matrix is a reference document that provides deeper detail on roles, responsibilities, and accountabilities beyond the key concepts covered in the training. Role split between FPM and ITPM must be clearly understood and agreed BEFORE G3. Names of assigned Project Managers, and any decisions that extend beyond the standard RACI model, must be documented in the Project Stakeholder Agreement.

7. PROJECT PHASES IN DETAIL

7.1 Initiation and Planning Phase (G0 - G3)

Project Initiation

- High-level goals, scope, costs, and benefits defined and documented in ePPM
- Presented for Gate 0 approval
- If PM is assigned after G0, G0 submission is prepared by the Project Owner
- G0 approval marks the formal start of the project and initiates the Planning Phase

Project Planning Activities

Planning must be comprehensive enough to determine feasibility within defined constraints and evaluate likelihood of delivering anticipated value. The Steering Committee must be comfortable committing to project baselines in the DISD G3 Decision Sheet. Detailed planning may happen after Gate 3 approval.

Planning Domain	Description
Scope	Collect complete requirements including functional, non-functional, and future support considerations. Clearly identify and document out-of-scope deliverables.
Quality	Define quality standards and acceptance criteria for deliverables.

Stakeholders	Identify stakeholders, create stakeholder matrix in ePPM, update throughout project lifecycle.
Risks	Identify major risks impacting scope, time, cost, or benefits. Create response plans for high-probability, high-impact risks. List critical risks in ePPM using if-then statements. Consider dependencies as risks.
Schedule	Provide indicative timeline with sequence of activities, critical dependencies, start/end dates, milestones, and stage gates.
Resources	Identify key resources, match skills to available talent, obtain capacity commitments from resource managers.
Procurement	Identify tasks requiring external resources. Check for existing suppliers. Involve Procurement, Legal, and Vendor Management as needed.
Cost	Calculate implementation costs after clarifying scope, risks, schedule, and resources. Outline anticipated maintenance expenses.
Change Management	Plan both project change management (changes to baselines) and business change management (impact on ways of working).
Communication	Understand communication needs of stakeholder groups. Plan communication activities. Establish feedback mechanisms.

Recommended Steering Committee Meeting Schedule

- End of Planning phase: to confirm G3 readiness
- During Execution phase (G3-G4): updates, approve changes, obtain support
- End of Execution phase (G4-G5): obtain project go-live approval
- End of project (G6): approve project closure

Stakeholder Engagement in Planning

- Engage Sponsor and nominated Steering Committee members to align on objectives and scope
- Involve support function representatives for complete requirements: Architects, Information Security, Sourcing Specialists (mandatory), plus Service Managers and BAU organizations (essential for smooth transition)
- Use Kanban board or Gantt chart for transparency and alignment among team members

Risks, Issues, and Assumptions in Planning

- If risks of failing to meet objectives are high, devise early learning strategies
- Early learning may include: PoC (validates technical feasibility), Pilot, MVP (verifies benefit hypothesis)
- PoC goal: prove the technical solution can work at PMI
- MVP goal: verify the benefit hypotheses outlined at G0

Project Change Management vs. Business Change Management

Type	Description
Project Change Management	How changes to project baselines (scope, time, cost, benefits) will be managed. Defined in DISD G3 Decision Sheet. Changes outside approved baselines require a valid change request approved by responsible governance body. Managed via ePPM Change Control tab.
Business Change Management	Impact of the project on existing ways of working. Plans how changes will be communicated to users/customers. Includes training planning. FPM is accountable for this in cross-functional projects.

7.2 Execution Phase (G3 - G4)

Starting the Project

- Run an execution kick-off meeting to align and organize the team
- Execute project work ensuring all deliverables meet applicable quality standards and pre-defined acceptance criteria from the Project Stakeholder Agreement
- Keep project on track, communicate frequently, update ePPM monthly
- Identify and manage risks, issues, and project changes

Risk Management During Execution

- Ongoing process: regularly review existing risks and identify new ones
- PM communicates risk exposure by keeping risk records up to date in ePPM (risk register and RAG status)
- Risk response strategies must be approved or acknowledged by Steering Committee
- May result in creation of change requests and updates to project documents
- Focus on preventing problems and exploiting opportunities (proactive) rather than reactive issue resolution

Project Change Management During Execution

- Any changes to approved G3 Submission Documents affecting scope, cost, schedule, quality, risks, or benefits require a formal change request
- Use the Change Control tab in ePPM to manage project changes
- Budget increases exceeding 10% of overall project budget (excluding currency impact) require DISD approval
- Budget RAG status in ePPM must be turned amber or red until the project budget is re-baselined

7.3 Closing Phase (G4 - G6)

Formal Closing Requirements

Projects are closed when they meet their objectives, or when circumstances change (deliverables no longer needed, insufficient funding, significant risks). Regardless of how a project closes, an approved Project Closing Report is always required.

Project Handover to Operations (G4-G5)

- PM prepares, aligns, and executes the Project Transition Plan
- Other stakeholders: Service Manager and Business Owner
- FPM: overall accountability for transition and closing; ensures successful adoption of solution
- ITPM: coordinates IT operational readiness activities
- Transition Plan: structured checklist of activities and documents that must be completed before transitioning to operations
- FPM and ITPM together determine which Transition Plan activities must be done before go-live and which can be done after
- All Transition Plan activities must be completed before project closure at Gate 6
- Service Manager confirms final execution of the plan in writing
- Agreed Transition Plan is a PREREQUISITE for Steering Committee to provide go-live approval at Gate 5

Project Closing Activities

- Offer hypercare support to ensure system stability and early solution acceptance
- Finalize and document outstanding handover and closing activities
- Close contracts and process outstanding financial items
- Review lessons learned with team; hold a closing retrospective session
- Recognize exceptional team performance in alignment with Sponsor and FPM
- Prepare Project Closing Report; get Steering Committee approval
- Once Steering Committee approves the Closing Report, project is closed and team dissolved

Project Closing Report Contents

- Main project deliverables
- Expected benefits and key variances with reasons
- Key lessons learned
- Issues to be resolved after Project Closure and responsible parties
- Who is responsible for benefit tracking after project handover
- Summary of the handover process and link to the completed Transition Plan

8. KEY PROJECT DOCUMENTS

Document	Purpose, Decision Body, and Notes
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G0 DISD Submission	Documents the initial investment opportunity for Gate 0 approval. Decision body: Functional/Regional DISD. Must be uploaded to ePPM Documents section.
Project Stakeholder Agreement	Documents HOW the project will achieve its objectives. Covers project deliverables, organization of work, roles, responsibilities, collaboration principles. Decision body: Steering Committee (G3 Readiness). Decision level: project. Designed as a PowerPoint presentation to facilitate the Steering Committee meeting. Must be linked in ePPM Documents section.
G3 Submission Template (DISD G3 Decision Sheet)	Documents WHAT the project will deliver - scope, costs, and benefits. Supports DISD approval of Gate 3 and project funding allocation. Decision body: DISD. Decision level: portfolio. Equivalent to the business case. Must be linked in ePPM Documents section. Audience: DISD members, Portfolio Managers, Finance Business Partners.
Transition Plan	Structured checklist of activities and documents to be completed before transitioning to operations and closing. Mandatory prerequisite for Gate 5 go-live approval. Must be linked in ePPM Documents section. Signed off by Service Manager.
Project Closing Report	Formal conclusion document. Required regardless of how a project closes (objective met or not). Must be approved by Steering Committee before project is officially closed at G6.
Project RACI Matrix	Detailed reference for roles, responsibilities, and accountabilities beyond training concepts. Available on IT Hub.
Steering Committee Update Deck	Template for regular Steering Committee updates during execution phase.

8.1 Project Stakeholder Agreement vs. G3 Submission Template

Attribute	Project Stakeholder Agreement G3 Submission Template (DISD G3 Decision Sheet)
Answers	HOW (the project will achieve its objectives) WHAT (scope, costs, benefits)
Purpose	Document agreement on deliverables and organization of work Outline scope, costs, benefits for funding decision
Decision	G3 Readiness G3 Completion and project funding allocation
Decision Body	Steering Committee DISD
Decision Level	Project Portfolio

Format	PowerPoint presentation Excel file (part of G3 Submission Template)
KEY RULE: The Project Stakeholder Agreement does NOT replace the DISD G3 Decision Sheet. Each serves a different audience and supports distinct decisions. BOTH are mandatory prerequisites to pass Gate 3. BOTH must be linked in ePPM.	

8.2 G3 Submission Template Structure

The G3 Submission Template is an Excel file with structured tabs serving as: IT Financial Calculator, Project Benefits Framework, Financial Summary, DISD G3 Decision Sheet, and ePPM Input Sheets.

How the G3 Submission Template Works

- IT Financial Calculator: captures all core financial data (IT and Business Costs, Running Costs, Depreciation, Benefits)
- Benefits Framework: supports capturing expected benefits by nature of impact
- Financial Summary: automatically generated; calculates IRR (Internal Rate of Return), NPV (Net Present Value), Payback period, Net cashflow
- DISD G3 Decision Sheet: the formal Business Case. Sections: Overview, Technology, Financials, Timeline. Technology section updated by Architecture Review Board outcomes.
- ePPM Input Sheets: converts full financials and benefits into ePPM format ready for input
- The file automatically prepopulates the DISD G3 Decision Sheet from financial inputs

9. BENEFITS FRAMEWORK

Benefits are the reason a project is executed: the positive outcomes the project drives. They must be traceable regardless of type. Benefits express the value created by project deliverables and how they support the company's strategy. They are critical for IT investment decisions. The Project Owner is accountable for defining, measuring, and realizing project benefits.

9.1 Benefit Classification

Benefit Category	Description and Examples
Revenue - Direct Financial	Measurable in USD. Drives top-line growth. Example: pricing solution driving \$Xm of pricing margin per year.
Revenue - Indirect Financial	Measured with a number or percentage (not in USD). Example: Increase Registration Rate by +3pp; increase NBA Active Users by +3pp.
Productivity - Direct Financial	Cost savings measurable in USD. Example: DCE1 to DCX Migration - Annual Gross Savings \$Xm; Project Oslo \$Xm cost savings per year.

Productivity - Indirect Financial	Cost efficiency not directly measurable in USD. Example: Reduce Route to Market from 3000h to 262h; reduce time on printing by 70%.
Risk Reduction and Regulatory	Fulfillment of legal, regulatory, compliance obligations. Mitigation of registered risks, security vulnerabilities. Example: Manufacturing: remove 477 cyber-risks.
Foundations	Non-financial benefits. Reduction of technical debt, business continuity (lifecycle management), supporting core applications. Example: Reduce network incidents by 15%.
Innovation	Expected output of PoCs, prototypes, or innovation projects. Enables or sustains leadership/pioneer position. Example: Accelerate learning phases in product research.

CLASSIFICATION RULE: Benefits supporting revenue drive top-line growth. Benefits supporting productivity drive bottom-line performance. Cost avoidance/prevention is classified under Productivity. Innovation benefits are measured by expected output of PoCs or prototypes.

10. FINANCIAL MANAGEMENT

10.1 Key Financial Terms

Term	Definition
Original Budget (OB)	Planning cycle to allocate funds for the upcoming fiscal year. Created between July and October. Categories: PEX (Personnel Expenditures), OPEX (Operational Costs/BAU), and Investments into Projects (CAPEX and Project OPEX). Aligns with the Long-Range Plan (LRP).
Long-Range Plan (LRP)	Three-year strategic roadmap for the company.
Rolling Forecast (RF)	Estimate of company finances (most recent actuals and projections for rest of year). Major revision cycles: RF3 (Feb), RF6 (May), RF9 (Aug), RF11 (Oct). Resource allocation decisions based on RF results while keeping OB as target.
CAPEX (Capital Expenditure)	Investment in an asset: must be tangible, intended for use more than one year, has limited useful life. Includes external equipment/software/prototypes/consultancy AND internal PMI employee time dedicated to the project. Equipment capitalized if

	cost is \$2,500 or above. Software development capitalizable if \$25,000 or more.
Project OPEX (Project Expenses / Prj. Expenses)	Expenditures that do not increase usefulness or functionality of an asset. Includes preliminary and post-implementation phases of IT software development, hypercare, hosting, and certain license types. Perpetual licenses are capitalizable.
Running Costs	Future recurring costs of running IT services/applications after project go-live.
Depreciation	Expense charged against P&L annually to reflect reduced value of an asset over its useful life. Calculated in projects to show impact on operating expenses.
WBS (Work Breakdown Structure)	Cost object in SAP ERP used to monitor project commitments and expenses against approved budget (both CAPEX and Project Expenses). Created by Finance following DISD approval and based on 650 request. Referenced in Purchase Orders to track project costs in SAP.
IRR (Internal Rate of Return)	Financial indicator automatically calculated in G3 Submission Template Financial Summary.
NPV (Net Present Value)	Financial indicator automatically calculated in G3 Submission Template Financial Summary.
Payback Period	Financial indicator automatically calculated in G3 Submission Template Financial Summary.

10.2 The 650 Form - Capital and Lease Expenditure Request

The 650 form (Capital and Lease Expenditure Request) is used at PMI to release project funds by Finance. It applies to both Project Expenses and Capital Expenditures. Submission must happen BEFORE committing or spending any project funds, as per PMI Policy PM 38.

650 Use Case	Details
Seed Money (Preliminary Funding)	Funding required prior to Gate 3 (e.g., to confirm solution viability, de-risk, or execute preliminary analysis). Requires DISD approval at Gate 0. Initially classified as Project Expenses/OPEX; can change to CAPEX after G3 if capitalization criteria are met. Seed money amount must be reflected in the initial budget request at G3.
Initial Project Budget Release	Submitted by IT PM in MyPMI using the 650 form. Project Controller examines form and G3 Submission Template, creates SAP WBS, and initiates 650 processing. Finance reviews, assigns approvers, sets up approval flow. Finance CAPEX team assigns and releases budget at WBS level in SAP upon approval.

Supplemental Budget Release	Required when cost overrun or significant scope change occurs. Follow Project Change Management process first. Budget increases exceeding 10% of overall project budget require DISD approval. Request category in 650: Supplement/Scope Change.
TIMING WARNING: Budget approval and release may take up to 3 weeks. Factor this into project planning.	

10.3 IT Planning and Tracking Tool

The IT Planning and Tracking Tool is used by the IT Global Function to plan project spend, manage procurement of external goods and services, and confirm delivery. It is a collaboration platform between project and finance teams (Back Office) for creating and managing purchase orders.

Purchase Process via IT Planning and Tracking Tool

- PM creates a Change Log (CL) entry in the IT Planning and Tracking Tool with essential documents (e.g., supplier SoW)
- Back Office team reviews CL and initiates Purchase Request (PR) in Coupa
- Upon procurement team and budget owner approval, PR is converted to a Purchase Order (PO)
- Monthly planned spend per PO is confirmed via Delivery Confirmations (DCs) filled by supplier and approved by PM
- Approved DCs are posted in SAP as Goods Receipts (GRs)
- Supplier invoices processed by Accounts Payable only after GRs are posted (except prepayment requests)

MARKET IT NOTE: Projects managed by Market IT do NOT use the IT Planning and Tracking Tool. PRs/POs are handled directly in Coupa or SAP.

10.4 Capitalization of Internal Resources

- Time of PMI employees dedicated to creating capital assets in projects can be capitalized per PMI Policy PM 38
- Global IT Function: PM allocates internal employee work via Change Log (CL) in IT Planning and Tracking Tool
- Each CL line must refer to a single employee and specify a single location (e.g., PL - Poland)
- PM must provide employee name and planned number of man-days per month per employee
- Maximum capitalization: 18.3 man-days per person per month (reflects 80% project work, 20% general activities split)
- Change Log uses blended internal IT capitalization rates input at the beginning of the year
- Back Office processes internal capitalization directly in SAP ERP on a monthly basis
- PM must review and update resource allocation on a monthly basis

MARKET IT NOTE: Market IT manages capitalization of internal team members via Excel timesheets submitted to Regional CAPEX/Finance Teams.

10.5 Budget Monitoring Terms

Term	Definition
Approved Budget	Latest approved budget by DISD Committee or equivalent decision body
Latest Estimate (LE)	Recent evaluation of total costs; may differ from initial budget
Commitments	Financial obligations based on open Purchase Orders in SAP ERP
Actuals	Funds already spent based on posted Goods Receipts in SAP ERP
Budget Overrun	Latest Estimates EXCEED latest Approved Budget. May require additional fund approval and release request.
Budget Underspend	Latest Estimates are LOWER than latest Approved Budget. Must be reported to enable release of unused funds back to DISD.
KEY RULE: ePPM must be updated on a monthly basis to reflect any budget changes. Budget RAG status must be turned amber or red until the project budget is re-baselined after a budget increase.	

10.6 Financial Closing Activities

Three Key Steps for Financial Closing

- Step 1 - Closing of Project Budget Consumption: ensure all Goods Receipts/Delivery Confirmations are performed; close all open Purchase Orders/Change Logs after the last GR/DC; ask Finance to close project WBS(s)
- Step 2 - Final Project Financials Overview: complete the Costs section in the Project Closing Report and present to Steering Committee; reflect final financial overview in ePPM before submitting to G6 (total costs = actuals; Benefits section = latest forecast); notify functional/regional S&PD representative, Finance Business Partner, and Project Controller (Global IT)
- Step 3 - Asset Register Update: inform Finance of any new, modernized, or retired assets; Finance creates fixed assets upon PM confirmation of project completion; if phased go-live, request asset creation after each intermediate milestone; instruct Finance to close old asset if legacy application is decommissioned

11. TOOLS QUICK REFERENCE

Tool	Purpose and Key Facts
ePPM (Enterprise Project Portfolio Management)	Central tool for portfolio and project management. Front page of the project. Source of data for decision-making reports.

	Exclusive system for holistic portfolio view. Must be updated monthly minimum.
LeanIX	Enterprise Architecture Tool. Projects in ePPM are automatically replicated here. Used to manage PMI technology inventory, design roadmaps, and track dependencies. Find your Solution Architect by looking up your project's PRJ code and checking the Fact Sheet Architecture Planning section.
IT Planning and Tracking Tool (IPATT)	Plans project spend, manages procurement of external goods and services, confirms delivery for Global IT Function. Access via link on IT Hub.
Coupa	PMI tool for creating Indirect Materials and Services Purchase Orders. Used for PO management.
SAP ERP	System where project commitments and expenses are tracked via WBS. Goods Receipts are posted here. Asset register is managed here.
MyPMI	Portal where IT PM submits the Capital and Lease Expenditure Request (650 form) for fund release.
G3 Submission Template (Excel)	Excel file with IT Financial Calculator, Benefits Framework, Financial Summary, DISD G3 Decision Sheet, and ePPM Input Sheets. Mandatory template for Gate 3 preparation.
IT Portfolio Dashboards (Power BI)	Provide various views of the running and planned portfolio including portfolio health. Toggle between IBP provisional envelopes, aggregated function views, and individual project views.
OneTrust	PMI's Data Privacy Solution. Used for DPIA (Data Privacy Impact Assessment).

12. MANDATORY RULES AND KEY DECISION CRITERIA

12.1 Mandatory Rules

- Every project must align with PMI's overarching company strategy AND the IT department's strategy
- All ITPF policies must be known and applied when managing a project involving IT
- ePPM must be updated at minimum once per month
- Keeping ePPM updated is a prerequisite for passing any mandatory project stage gate
- Role split between FPM and ITPM must be clearly understood and agreed BEFORE G3
- BAU organizations and Service Managers must be engaged during planning (not optional)
- PoC is mandatory for all AI-related projects
- No project can begin execution without explicit DISD approval at Gate 3

- 650 form must be submitted BEFORE committing or spending any project funds
- All G3 submissions must use the mandatory DISD templates (adherence is not recommended, it is absolutely mandatory)
- Project Closing Report is always required regardless of how a project closes
- Service Manager must confirm final execution of Transition Plan in writing
- Project Stakeholder Agreement AND DISD G3 Decision Sheet must both be linked in ePPM for Gate 3
- Budget increases exceeding 10% require DISD approval
- Projects with phased funding must return to DISD for budget releases for each phase

12.2 Who Decides What

Decision	Decision Body
Gate 0 approval	Functional/Regional DISD
Gate 3 readiness	Project Steering Committee
Gate 3 approval and funding	Central DISD (large projects) or Functional/Regional DISD (smaller projects)
Exceptional Gate 3 decisions	IBP
Gate 5 go-live	Steering Committee
Gate 6 project closure	Steering Committee
Budget increases > 10%	DISD approval required
Change requests to baselines	Responsible governance body (project-level and/or DISD)
Risk response plans	Steering Committee
Key project changes	Steering Committee (before submission to other decision bodies)
Mandatory gate confirmation in ePPM (G0, G3, G5, G6)	Portfolio Manager
Remaining gate confirmations in ePPM	Project Manager

13. GLOSSARY

Term	Definition
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BAU	Business-As-Usual. Ongoing operational activities after project completion and handover.
CAPEX	Capital Expenditure. Investment in assets intended for use more than one year.
Change Log (CL)	Entry created by PM in IT Planning and Tracking Tool to initiate procurement and internal capitalization processes.
DC	Delivery Confirmation. Monthly confirmation of planned spend per Purchase Order, filled by supplier and approved by PM.
DISD	Digital Investment and Strategy Deployment. PMI's framework guiding and prioritizing digital projects within the portfolio.
FPM	Functional Project Manager. Holds overall project accountability in cross-functional projects.
GR	Goods Receipt. Posted in SAP when a DC is approved. Triggers supplier invoice processing.
IBP	Integrated Business Planning Committee. Highest governance body for strategic direction and financial guidance.
IRR	Internal Rate of Return. Financial KPI calculated in G3 Submission Template.
ITPM	IT Project Manager. Responsible for all IT components aligned with ITPF.
ITPF	IT Policy Framework. Governing framework for managing information systems at PMI. Highest authority.
LE	Latest Estimate. Recent evaluation of total project costs.
LRP	Long-Range Plan. Three-year strategic roadmap for the company.
MVP	Minimum Viable Product. Early product model to verify benefit hypothesis.
NPV	Net Present Value. Financial KPI calculated in G3 Submission Template.
OB	Original Budget. Annual planning cycle to allocate funds across categories.
OPEX	Operational Expenditures. Ongoing operational costs/BAU.
PEX	Personnel Expenditures. Costs related to personnel in the OB.
PoC	Proof of Concept. Validates technical feasibility of a solution. Mandatory for AI projects.

PO	Purchase Order. Created in Coupa after PR approval. Referenced in WBS to track costs.
PR	Purchase Request. Created by Back Office in Coupa after reviewing a Change Log.
Project OPEX	Project Expenses. Expenditures that do not meet CAPEX criteria (non-asset-creating).
RAG	Red Amber Green. Status indicator used in ePPM for project health reporting.
RACI	Responsible, Accountable, Consulted, Informed. Framework for defining roles.
RF	Rolling Forecast. Latest estimate of company finances; revised multiple times per year.
S&PD	Strategy and Program Delivery. Owns strategic planning within the DISD framework.
SteerCo	Steering Committee. Project governance body making key project-level decisions.
WBS	Work Breakdown Structure. Cost object in SAP ERP for tracking project budget consumption.
650 Form	Capital and Lease Expenditure Request form used to release project funds via MyPMI.